

**IN THE COURT OF APPEAL OF THE DEMOCRATIC SOCIALIST REPUBLIC
OF SRI LANKA**

In the matter of an application in terms of
Article 140 of the Constitution of the
Democratic Socialist Republic of Sri Lanka
for a mandate in the nature of a Writ of
Certiorari

Ceylon Steel Corporation Limited,
Oruwala,
Athurugiriya.

PETITIONER

Case No.CA (WRIT)466/2022

Vs.

1. B. K. Prabath Chandrakeerthi,
Commissioner General of Labour,
Labour Secretariat,
No.41, Kirula Road,
Colombo 5.
2. D. A. S. Wijesundara,
Deputy Commissioner of Labour,
Labour Secretariat,
No.41, Kirula Road,
Colombo 5.
3. W. P. M. P. Wijayawardhana,
Assistant Commissioner of Labour,
Colombo East District Labour Office,
18th Floor,
Mehewara Piyasa Building,
Colombo 5.
4. The Magistrate,
Magistrates Court of Kaduwela,
Kaduwela.

5. Sri Lanka Nidahas Sewaka Sangamaya,
(On behalf of Satharasinghage Ruwan
Chaminda Wajirakantha Perera),
4th Floor,
No.341/21,
Sarana Mawatha,
Rajagiriya.

6. Satharasinghage Ruwan Chaminda
Wajirakantha Perera,
No.105/46C,
Grandpass Road,
Colombo 14.

RESPONDENTS

Before: **R. Gurusinghe J.**

&

Dr. Sumudu Premachandra J.

Counsel: Kamal Dissanayake with Sajani Ranasinghe instructed
by Sureni Amaratunga for the Petitioner.

Asthika Devendra, with Milinda Sarathchandra and S.
Galagedara, instructed by Manjula Balasooriya for the
05th and 06th Respondents.

Shanil Kularatne, ASG for the 01st to 04th Respondents.

Written Submissions: By the Petitioner filed on 23/06/2026.

By the 1st 2nd and 3rd Respondents filed on
05/06/2026.

By the 5th and 6th Respondents filed on 30/06/2026.

Argued On : 25/05/2026.

Judgement On : 10/07/2026.

Dr. Sumudu Premachandra J.

1] The Petitioner filed a Writ Petition in the Court of Appeal of Sri Lanka on 01/12/2022 against Respondents, including the Commissioner General of Labour and the Magistrate of Kaduwela. The legal dispute arose following the termination of the 6th Respondent, a former employee and trade union chairman, on disciplinary grounds effective 01/04/2021. The Petitioner submitted its certificate of incorporation as annexed document P1(a), the company profile as P1(b), the employees' appointment and warning letters to the 6th Respondents as P2(a)-P2(j), and the official letter of termination as P3.

2] After termination, following a complaint by the 5th Respondent trade union, the Labour Department conducted an inquiry with regard to the termination. Moreover, further, Labour Tribunal proceedings were initiated under case number LT/30/1831/2020, the parties attempted an amicable settlement. The Petitioner later received a directive dated 17/03/2021, from the 3rd Respondent (Assistant Commissioner of Labour) ordering the reinstatement of the 6th Respondent. Those documents were submitted, including the Petitioner's written inquiry submissions, marked as P4(a)-P4(d), and the 3rd Respondent's reinstatement directive, annexed as P5.

3] The Petitioner argued that the reinstatement order via a reply letter dated 02/04/2021 (annexed as P6), said that the 3rd Respondent lacked the legal authority under Section 12(4) of the Industrial Disputes Act to issue such a mandate without a proper settlement report.

4] In December 2021, based on this incident, Petitioner was charged in the Magistrate's Court of Kaduwela under case number No. 45887/21, alleging statutory violations under the Industrial Disputes Act for unfair labour practices. The court proceedings up to June 2022, are annexed as P7 (the charge sheet), P8 (the court proceedings), and P9 (the Complaint).

5] The Labour Department internal documents show that the department had recorded statements from the trade union in the company's absence (the Petitioner) and willfully proceeded with prosecution despite an initial internal finding of insufficient evidence. Those documents were P10 and P11.

6] The Petitioner contends that these actions constituted a blatant violation of Natural Justice, rendering the reinstatement order (P5) and the prosecution approval (P9) arbitrary, illegal, and Void Ab Initio. Consequently, the Petitioner prays that this Court be pleased to;

- a) Issue Notice on the Respondents;
- b) Grant a Stay Order against the 1st and/or 2nd and/or 3rd Respondents restraining them from pursuing the said case bearing No. 45887/21 filed against the Petitioner in the Magistrates' Court of Kaduwela until the final conclusion of this application;
- c) Grant a Stay Order against the 4th Respondent staying the proceedings bearing No. 45887/21 in the Magistrates Court of Kaduwela filed against the Petitioner until the final conclusion of this application;
- d) Issue an Order in the nature of a Writ of Certiorari quashing the decision contained in document marked P5 issued by the 3rd Respondent;
- e) Issue an Order in the nature of a Writ of Certiorari quashing the approval contained in document marked P9 issued by the 2nd Respondent;
- f) Grant costs; and
- g) Any other and further relief Your Lordships Court shall deem meet.

7] In their objections, the Respondents highlight that an inquiry was conducted at the Labour Secretariat under the Industrial Disputes Act to seek a settlement between the parties. The Respondents assert that the Petitioner Company acted with an ulterior motive in dismissing the workman for his active involvement in trade union activities, thereby imposing unfair conditions on his reinstatement to suppress his trade union engagement. Consequently, after finding sufficient evidence during the inquiry that the Petitioner Company engaged in "Unfair Labour Practices," the decision was made to institute criminal proceedings against the company in the Magistrate's Court under Section 32A of the Industrial Disputes Act.

8] The Respondent argues that the Petitioner Company's application is frivolous, misconceived, and lacks merit, as it relies on a nullified reinstatement suggestion (P5) and mistakenly attempts to challenge Section 32A criminal allegations outside a Court of Law. The Respondent maintains that the management has ample opportunity to prove its innocence at the upcoming trial in the Magistrate's Court and that no prejudice has been caused to it by these proceedings.

9] The facts show that the 6th Respondent was actively involved in trade union activities and served as a branch chairman from 2015 until his services were terminated on 01/04/2021. The Commissioner General contends that the Petitioner Company acted with an ulterior motive to unfairly dismiss the

workman for exercising his freedom of expression through trade union activities. Following a statutory inquiry held under the Industrial Disputes Act to promote a settlement, the company reportedly laid down unfair conditions and showed a lack of genuine effort to reinstate the employee. Based on the initial inquiry and subsequent investigation findings, it was determined that the company violated Section 32A of the Industrial Disputes Act by engaging in Unfair Labour Practices, which carries penal provisions requiring criminal proceedings in the Magistrate's Court rather than mediation by the Labour Commissioner.

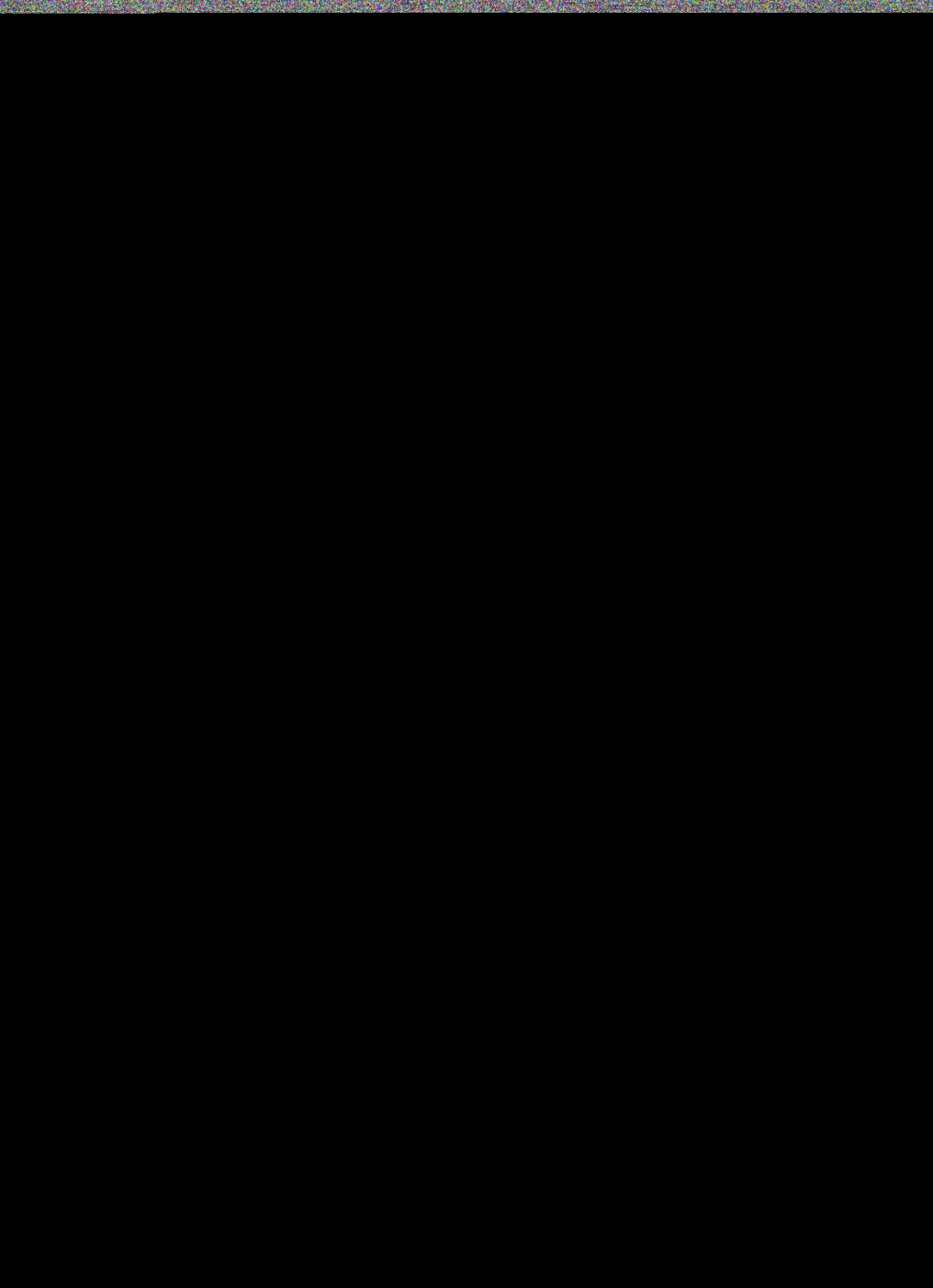
10] The Petitioner's contention was that the 6th Respondent was terminated for gross misconduct following a grave violation of the company's Covid-19 safety protocols. Furthermore, they say that changes to the 6th Respondent's schedule shifting from a rotating shift to a general shift were due to unreliability in his reporting to work, rather than an attempt to hinder trade union engagement.

11] The 5th and 6th Respondents say that the Petitioner has suppressed material facts, is guilty of unreasonable delay (Laches), has failed to come before the court with "clean hands" and possesses alternative legal remedies instead of pursuing this Writ application.

12] The core of the dispute arises from the arbitrary dismissal of the 6th Respondent, who had been employed by the Petitioner Company. On 01/04/2020, the Petitioner terminated his employment on alleged disciplinary grounds without conducting an inquiry, recording a statement, or issuing a charge sheet, which violated proper legal procedure. The Respondents maintain that the dismissal was an act of retaliation for his Trade Union activities and constituted an unfair labour practice. They allege the Petitioner entrapped the 6th Respondent during the March 2020 COVID-19 lockdown by having the Human Resource Manager instruct him to purchase fruits for a company director from the Pettah market, only to terminate him days later for entering a crowded area and engaging in private business based purely on hearsay evidence.

13] Following a complaint lodged by the Union, the Labour Department conducted an inquiry, and the Commissioner General of Labour (3rd Respondent) issued an order (marked P5) stating the 6th Respondent's reinstatement. When the Petitioner failed to comply, the 3rd Respondent instituted criminal proceedings against the Petitioner in the Magistrate's Court of Kaduwela (Case No. 45887/21) on 22/10/2021, under the Industrial Disputes Act No. 43 of 1950.

14] I now consider the merits of the application. The Petitioner seeks to quash P5 and P9. P5 was issued on 17/03/2021 by the Assistant Commissioner of Labour-East. The letter is posted below for clarity.



15] It is clearly seen that the commissioner ordered (නියෝග කරමි) the 06th Respondent to be reinstated within 14 days of the said letter and report to him. However, by P6, the Petitioner had repudiated this order.

16] The said order (P5) was issued under the section 12(4) of the Industrial Dispute Act. The section says;

“12(4) Where the Commissioner or an authorized officer after endeavouring to effect a settlement of an industrial dispute, fails to effect such a settlement, such Commissioner or such officer shall, at the close of his

*investigation, prepare a full report regarding the dispute and shall set out in such report the steps taken by him for its investigation and settlement, and **his recommendation for the settlement of the dispute**. In the settlement recommended reference shall be made to the parties and trade unions to which, and the employers and workmen to whom, such settlement relates.” [Emphasis is added]*

17] This P5 was not based on a settlement. The wording of P5 amply shows that it was not made on a settlement “ඉදිරිපත් කරන කරුණු සලකා බලා පහත තීරණය ප්‍රකාශයට පත්කරමි.” Thus, the 03rd Respondent has made a decision on the facts and ordered the 6th Respondent to be reinstated immediately to the Petitioner.

18] Under Section 12 of the Industrial Disputes Act, the Commissioner of Labour who investigates disputes has no power to make a binding judicial order or award. His duty is to pursue a settlement/ conciliation between the parties. If conciliation fails, the Commissioner may refer the dispute only to an arbitrator or the Minister. However, once a dispute is referred, an arbitrator is legally required to make a binding, just, and equitable award.

19] Thus, the Commissioner’s primary role under Section 12 is to mediate and promote a settlement between the employer and workmen. The Commissioner cannot make an authoritative order or award that resolves or dictates the outcome of the dispute. If the Commissioner cannot settle the dispute, they will draft a report and may refer the dispute to voluntary arbitration, if both parties consent or forward it to the Minister of Labour.

20] At the argument, learned ASG, keeping the highest traditions in the Bar, conceded that the directive (marked as P5) ordering the reinstatement of the employee within 14 days violated Section 12(4) of the relevant Act, which only permits officials to issue recommendations rather than mandatory orders. Thus, the order P5, ex facie illegal, should be quashed.

21] Lord Diplock in **Council of Civil Service Unions v Minister for the Civil Service** [1985] AC 374 identified illegality, irrationality and procedural impropriety as the three grounds for judicial review. Thus, the illegality of P5 attracts the use of this discretionary remedy.

22] Consequent to the illegality of P5, the Petitioner argues that subsequent legal actions instituted in the Magistrate's Court of Kaduwela (marked as P9) are unlawful, ultra vires, and entirely dependent on these flawed prior administrative procedures.

23] I now consider this in detail. It should be noted that this is an application for review of prosecutorial discretion. P9 is the plaint which was submitted to the learned magistrate of Kaduwela. It was submitted in breach of section 32A

of the Industrial Dispute Act. It prohibits unfair labour practices by employers. The section describes those as;

“32A. No employer shall –

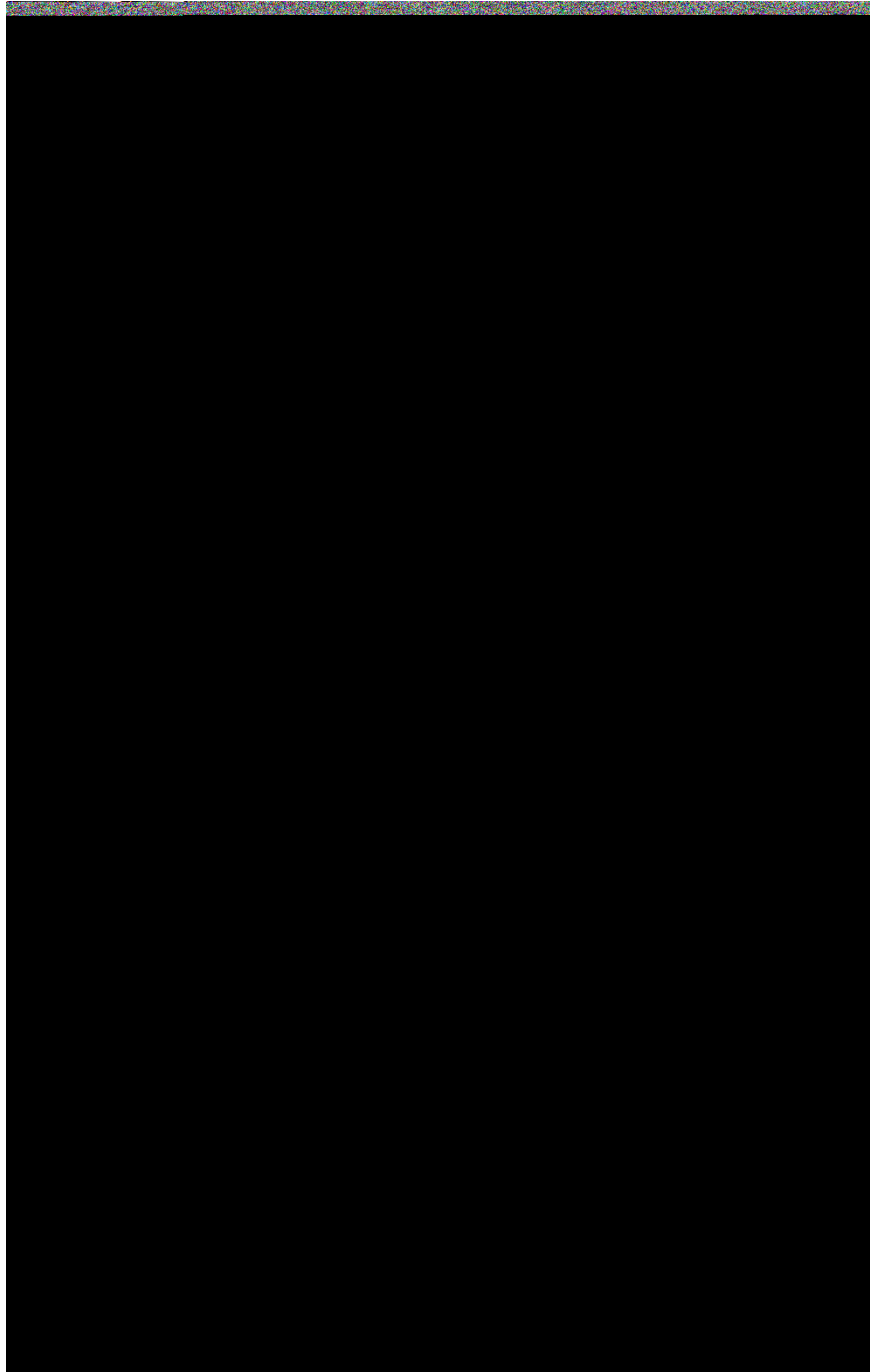
- (a) require a workman to join, or refrain from joining, any trade union, or to withdraw from, or to refrain from withdrawing from, is membership of a trade union of which he is a member, as a condition of his employment;*
- (b) dismiss a workman by reason only of his membership of a trade union or of his engaging in trade union activities;*
- (c) give any inducement or promise to a workman for the purpose of preventing him from becoming, or continuing to be, a member, office-bearer or representative of a trade union;*
- (d) prevent a workman from –
 - (i) forming a trade union; or*
 - (ii) supporting a trade union by financial or other means;**
- (e) interfere with the conduct of the activities of a trade union;*
- (f) dismiss, or otherwise take disciplinary action against, any workman or office-bearer of a trade union –
 - (i) for any statement made by such workman or office-bearer in good faith before any tribunal or person in authority; or*
 - (ii) for any statement regarding acts or omissions of the employer relating to the terms and conditions of employment, of the members of such trade union made by such workman or office-bearer, in pursuance of an industrial dispute for the purpose of securing redress or amelioration of working conditions of such members;**
- (g) refuse to bargain with a trade union which has in its membership not less than forty per centum of the workmen on whose behalf such trade union seeks to bargain”*

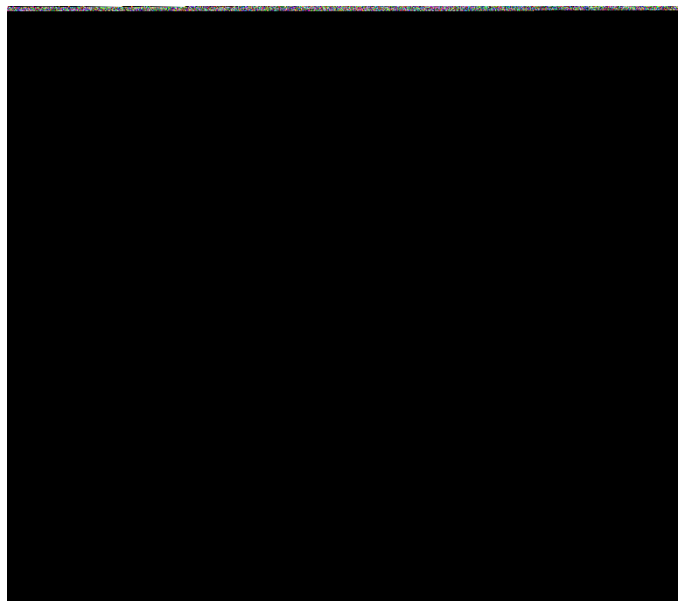
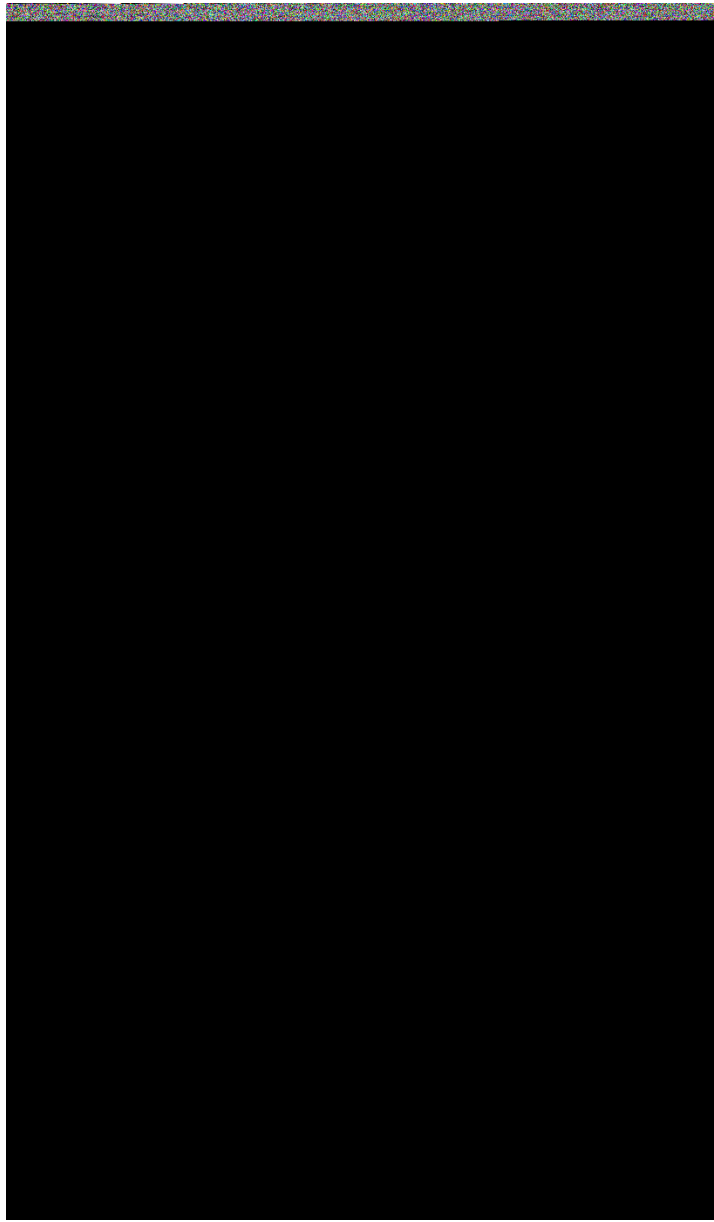
24] The Learned ASG says that P5 and P9 stand alone and have no connection and thus, though P5 is ultra vires, P9 can be sustained; moreover, the Petitioner can prove their Bona Fides at the Magistrate’s Court.

25] P9 is clearly vested with the prosecutorial discretion of the 1st Respondent. Intermeddling with prosecutorial discretion is very seldom, and in the Supreme Court in **Kaluhath Ananda Sarath De Abrew v. Chanaka Iddamalgoda and others** SC FR No. 424/2015, SC minutes of 11/01/2015, it was considered that the decision of the Attorney General's prosecutorial discretion be reviewed;

*“where the legislature has confided the power on the Attorney General to forward indictment with a discretion how it is to be used, it is beyond the power of Court to contest that discretion **unless such discretion has been exercised mala fide or an ulterior motive or in excess of his jurisdiction**”.* [Emphasis is added]

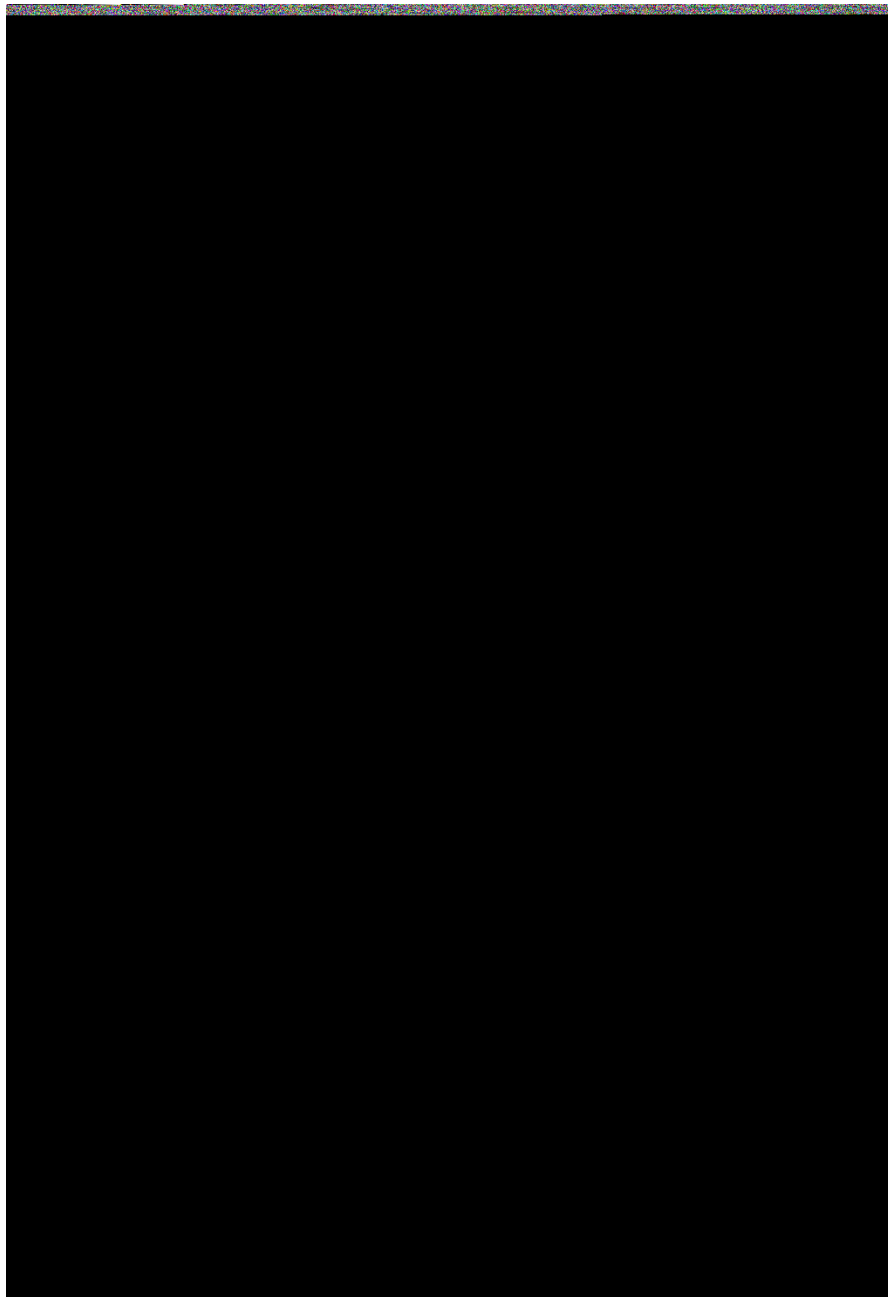
26] Thus, the decision to file a complaint on unfair labour practices must be considered on the said premises. The date of P9 is 22/10/2021. P5 was issued on 17/03/2021 by the 3rd Respondent. By P6, the order was repudiated by the Petitioner on 02/04/2021. It is seen that by P4(d), the conduct of the 6th Respondent has been elaborated to the 3rd Respondent well before the issuance of P5. That letter was pasted here for clarity.





27] The conduct of the 6th Respondent has been unsavoury with the employer; just because he is a trade union leader, he cannot give special shelter other than an ordinary employee. From P2(b) to P2(j), it is amply shown that the 6th Respondent was given a fair chance, and the Petitioner has tolerated him for so long. Thus, we cannot see any unfair labour practices by the Petitioner, just because of the dismissal of the 6th Respondent, one cannot say that it is unfair labour practice.

28] When P5 was issued, it was refuted by P6, and it questioned the powers of the Labour Commissioner under section 12(4) of the Industrial Dispute Act. P6 is reproduced below for clarity;



29] Though the learned ASG said that P9 has no connection with P5, we see that P6 added salt to the wound, which led to filing P9's Complaint in the Magistrate's Court of Kaduwela. We therefore see that the said P9 was issued not in the proper context and was involved in a prestige battle with ulterior motives. Since P5 has been issued without Jurisdiction, we could also see that P9 also falls into the same category. We are of the view that the Labour Department's decision to prosecute the Petitioner, falls heavily within above reviewable exceptions, specifically, an absence of Prime Facie evidence to support an "unfair labor practice," would be an abuse of process, procedural irregularities, bad faith, and a clear miscarriage of justice (before filing P9, no explanation was sought, which violates the rule of Audi Alterum Partem).

30] Thus, as noted above, prosecutorial discretion could be reviewed if the decision is made under Mala Fide or an ulterior motive or in excess of his Jurisdiction. In view of the said findings, P9 should be quashed.

31] The 5th and 6th Respondents have raised preliminary objections with regard to delay (laches) and suppression of facts. In reply, the Petitioner said that the delay was justified due to Covid-19 lockdowns, public unrest, fuel crisis, and systemic delays in obtaining the necessary official court and inquiry transcripts. It should be said that prerogative Writs cannot be dismissed merely for delay, and it should be unexplained; inordinate delay combined with prejudice to the opposing party can form a valid basis for a court to dismiss a Writ Petition. Thus, we see that the reasons explained by the Petitioner are reasonable and fair enough to consider this application.

32] On the issue of suppression, the Petitioner Company offered a conditional settlement to the 6th Respondent, shifting him from a rotating to a general shift due to unreliability, which did not prejudice the workman (him), restrict his freedom of expression, or hinder his trade union activities. We see that all material facts have been placed without suppression. Thus, preliminary objections are refused.

33] As we noted, the 3rd Respondent has filed criminal prosecution without considering his labour officer's recommendations. P11, internal records from Labour Officer Mr. A.D. Alagiyawanna (P11, page 95 of the brief) reveal that the Labour Department's own legal division initially concluded that there was insufficient evidence to substantiate the claims of unfair labour practices against the Petitioner on 30/09/2021. Despite this recommendation, the Magistrate's Court of Kaduwela issued a criminal summons under Action No. 45887/21, alleging violations of Sections 32A(b), (c), and (e), and Section 40(1)(ss) of the Industrial Disputes Act No. 43 of 1950. (P9 was filed on 22/10/2021). Thus, we see Mala Fides is involved in P9.

34] Consequently, we allow the application and P5 and P9 are quashed. The parties will bear their own costs.

JUDGE OF THE COURT OF APPEAL

R. GURUSINGHE J.

I agree

JUDGE OF THE COURT OF APPEAL